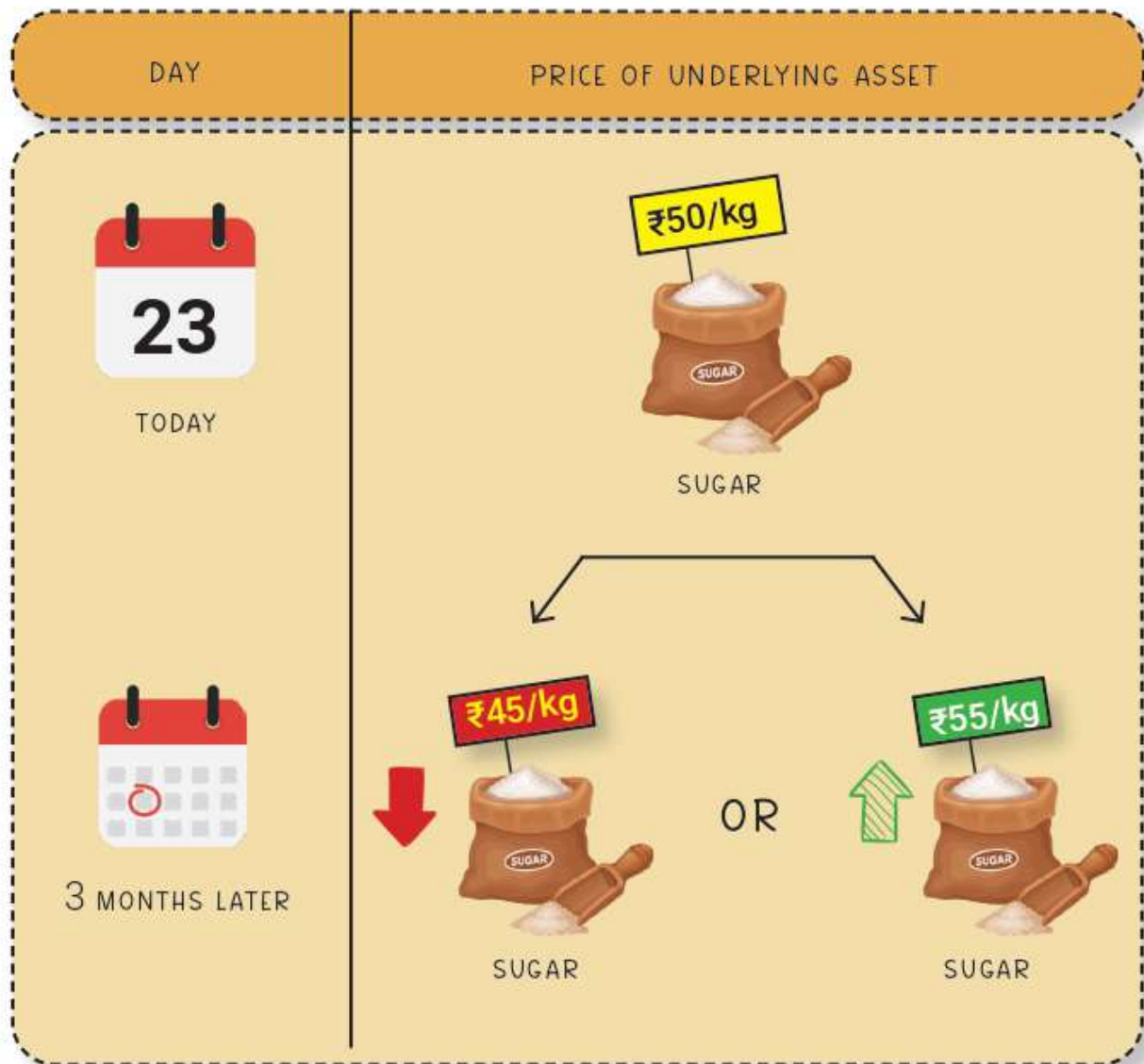


Purchasing the asset using a Forward contract at a predetermined price has further protected you against any price fluctuations (uncertainty) of the underlying asset (sugar).



Meaning that if the price of sugar after - 3 months is 10% more, you will still have the benefit of buying it at the predetermined price. Also, if the price of sugar after - 3 months is 10% less, you will still have to buy the sugar at the same predetermined price. Therefore, the derivative here plays a significant role in protecting you against any price fluctuations of sugar in the market. This is very important for those who have high exposure to such price fluctuations. It is important for them to purchase.